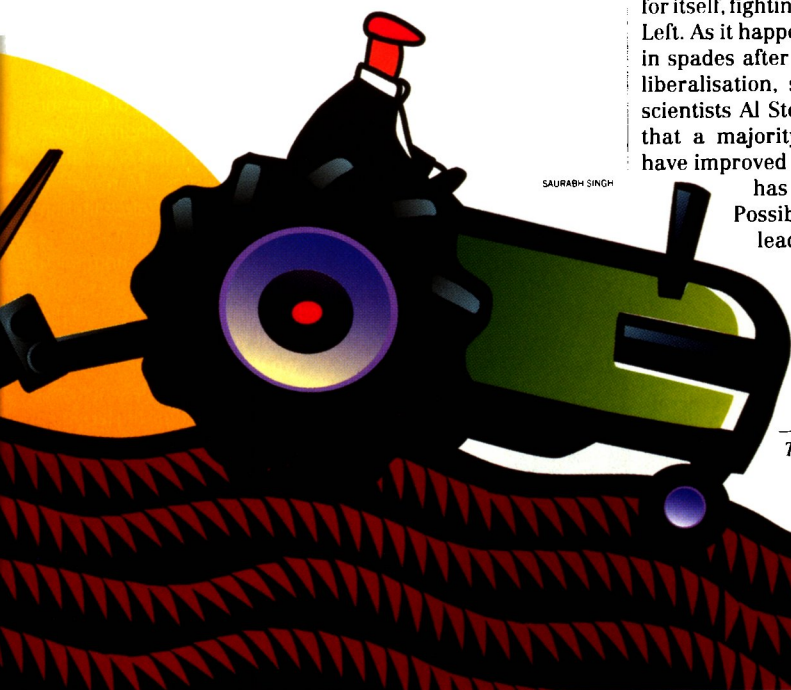


the US House of Representatives voted to retain the subsidy portion of the 2002 Farm Bill for another five years. At Potsdam, Schwab did not budge from her past hard-line position but insisted, even as she could not offer any real concessions on US agricultural subsidies, that the poorer countries must offer more. India had to offer market access in agriculture even as the US offered little of her own!

Her position that India is protectionist in manufactures and is not offering concessions also did not take into account the fact that India has unilaterally liberalised her import tariffs significantly, even as Doha has been negotiated since 2001. Nor does she give credit to India for continued opening up of India's market to services.

Schwab is, in fact, caught in the middle of the US politics. With the Democrats salivating to seize power in the 2008 Presidential election, and Republicans fearful of losing the White House, neither party is willing to risk the farm vote. But then Nath has his own political problem that he cannot ask Indian peasants, many on the margin of subsistence, to compete with hugely-subsidised farmers in the rich countries. So, we have a logjam; but the logs have come down principally from Washington (and Brussels).

Nath needs to appreciate the smaller role of distorting subsidies today in the US and the EU, just as Schwab needs to recognize our unilateral liberalisation in manufactures.



But Nath needs to work hard to ensure that India can itself move if the US agricultural protectionism can be dented by shifting the subsidies from those that distort production and hence matter to other nations such as ours, to ones that are not so distorting and hence should not be a matter of concern to foreign nations. A recent proposal by me and Arvind Panagariya is that the US would maintain its overall subsidies but change their composition thus.

But if this is done, surely India should be ready to move and offer some market access. Unfortunately, thanks to what trade scholars call the Wolfensohn-Stiglitz-Oxfam fallacy, many in India seem to have swallowed the ridiculous line that the US and the EU agricultural subsidies which affect us are of the order of \$1 billion a day! The distorting subsidy payments in the US last year were roughly \$11 billion by contrast; and the overall distorting support, after reforms in the EU (known as the Fischler-Lamy reforms), was less than a third of the \$360 billion claimed by these ignoramuses. The problem is therefore far more manageable than what is claimed and feared. Nath needs to appreciate the smaller role of distorting subsidies today in the US and the EU, just as Schwab needs to recognise our massive unilateral liberalisation in manufactures.

But the notion that India needs agricultural protection for Indian agriculture to prosper is itself an assumption that Nath needs to challenge. Why should agriculture be devastated with trade liberalisation? We felt the same about Indian manufactures, long mollycoddled, when the tariff reforms began in earnest in 1991. Today, Indian industry is flexing its muscle like Popeye.

Most of all, the Indian Government has its work cut out for itself, fighting a rearguard movement from the populist Left. As it happens, poverty has declined for the first time in spades after the 'neoliberal' reforms, including trade liberalisation, since 1991. Polls taken by the political scientists Al Stepan and Yogendra Yadav recently show that a majority of Indian poor claim that their lives have improved "in the last five years". Poverty reduction has created a Revolution of Perceived Possibilities; the poor want more. That often leads to difficulties for political incumbents who cannot deliver; it also leads at times to discord.

But that is surely good, not bad. It is also a reason to have more reforms, not less. The populists are stuck in the past; we need to embrace the future.

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